Can we beat Paytm at its own game? We can win the shopkeeper for far less. To beat Paytm, we must also keep him and earn like Paytm.

	Paytm	Us, with a street agent	Who is ahead
ROUND 1 **Win the shopkeeper**	field force: up to ~₹5,000 a device	**agent: ₹400 a saver**	✓ Us, up to 12.5× cheaper
ROUND 2 **Keep him**	a box on the counter; held through the 2024 shock	**the visit; Arvinder's janta book keeps 72 of 100 a year**	? Open: our pilot decides
ROUND 3 **Earn from him**	₹1,080 a year rent; ₹9,225+ a loan, collected from the till	**₹210 a year; ₹2,500 a loan**	✕ Paytm, 5× more a year

How we win round 3: make the agent's visit our till and earn a Paytm-like 4.5% a loan. A kept saver then pays back in month 14, and one agent covers 122% of his 3-year cost.

What could stop us: if our savers drop off like an app's (24 of 100 a year), the cheap win is wasted and Paytm wins every round.

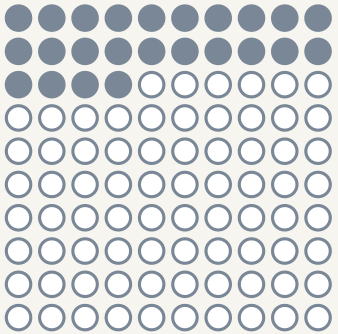
Paytm's game: win the shop on the street, keep it with something on the counter, earn rent and loan fees from it.

Same saver and products in both channels: ₹350 a day; fund commission, other products, cards and loans as in the appendix. App cost to win ₹499 is our model's evidence (₹186–1,340: Groww, finance-app installs, Jar and Stable Money). Street ₹400 = your ₹4 lakh agent ÷ 1,000 sign-ups a year. Built by model/story_unit.py → tables/story_unit.csv. Paytm figures: research/qr_moat.csv QM-06..22, XL-07, XB-08; in-person collection: research/story_evidence.csv SE-01..05. Detail and every assumption: appendix A1–A6.

We win the same saver for less than an app, and a janta-style visit keeps three times as many saving.

An app

pays ₹499 to win a saver



24

of 100 still saving after a year

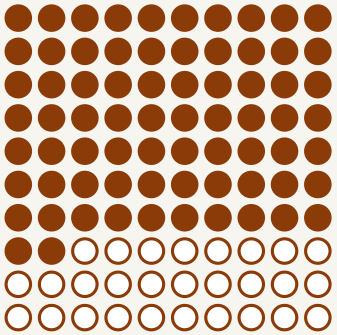
₹2,067

for each saver who stays

✕ earns back half its cost in 3 years

Our street agent

pays ₹400 to win a saver



72

of 100 still saving after a year

₹553

for each saver who stays

✓ pays back in month 22

Apps lose three in four within a year; SBI's ₹250 daily SIP lost 35.6% of FY26's new savers within the year.

Same saver and products in both channels: ₹350 a day; fund commission, other products, cards and loans as in the appendix. App cost to win ₹499 is our model's evidence (₹186–1,340: Groww, finance-app installs, Jar and Stable Money). Street ₹400 = your ₹4 lakh agent ÷ 1,000 sign-ups a year. Built by model/story_unit.py → tables/story_unit.csv. Paytm figures: research/qr_moat.csv QM-06..22, XL-07, XB-08; in-person collection: research/story_evidence.csv SE-01..05. Detail and every assumption: appendix A1–A6.

A collection agent keeps the habit alive. The visit is the product, and no app has it.

The agent visits
every 2–3 days
at the counter

→

The habit stays alive
6–10 join
6–10 leave a month

→

The money moves to UPI
over time; cash only where needed



72 of 100

still saving after a year (Arvinder's book)

₹400 to win each saver

₹4 lakh a year ÷ 1,000 sign-ups, collection included

“Bank employees. They collect cash and have trust.”

your note after the call, 15 Oct

Most of his customers have saved with him for 5+ years.

Each saver a street agent keeps for a year costs ₹553, about 4× less than online.

Same saver and products in both channels: ₹350 a day; fund commission, other products, cards and loans as in the appendix. App cost to win ₹499 is our model's evidence (₹186–1,340: Groww, finance-app installs, Jar and Stable Money). Street ₹400 = your ₹4 lakh agent ÷ 1,000 sign-ups a year. Built by model/story_unit.py → tables/story_unit.csv. Paytm figures: research/qr_moat.csv QM-06..22, XL-07, XB-08; in-person collection: research/story_evidence.csv SE-01..05. Detail and every assumption: appendix A1–A6.

Paytm earns far more from each shopkeeper: it charges rent and collects its loans from the till.

	An app	Paytm: the closest to us	Our street agent
How he is won	ads, installs, sign-up offers	a field force at the shop	**an agent at the counter**
Cost to win him	₹499	up to ~₹5,000 per device added	**₹400**
What keeps him	push notifications	a box on the counter: device shops held through the 2024 shock (1.06 → 1.07 crore)	**the visit every 2–3 days**
What he pays every year	nothing	₹1,080 in device rent (₹90 a month)	**nothing; the fund and products pay us ₹210**
What one loan earns	a referral fee	₹9,225–₹10,250 (4.5–5% of ₹2,05,000)	**₹2,500 (1% of ₹2.5 lakh)**
How it collects	the borrower's bank account	from the shop's daily payout: losses 4.5–5%	**the saver's bank account (UPI AutoPay)**

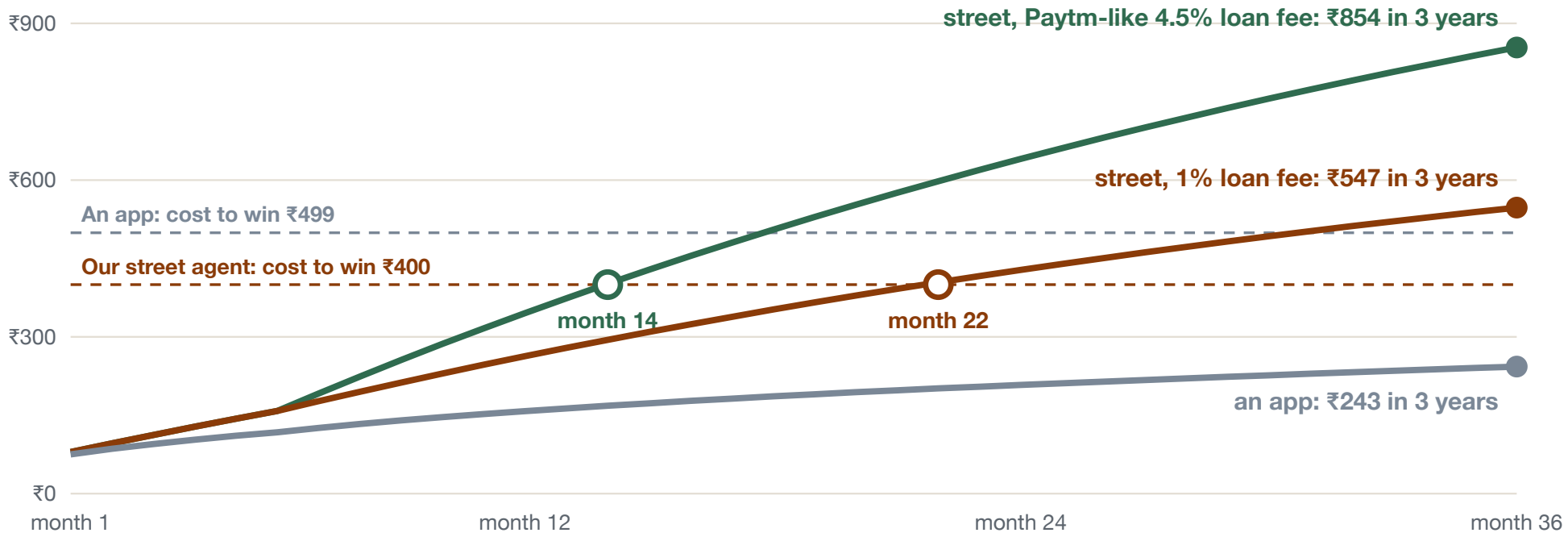
✓ **Our edge:** we win him for ₹400, not up to ₹5,000 (12.5× less).

× **Our gap:** Paytm earns 5.1× more a year from each customer, and 3.7–4.1× more per loan.

Our edge is the cheap win and the visit. Our gap is what each customer pays us.

Same saver and products in both channels: ₹350 a day; fund commission, other products, cards and loans as in the appendix. App cost to win ₹499 is our model's evidence (₹186–1,340: Groww, finance-app installs, Jar and Stable Money). Street ₹400 = your ₹4 lakh agent ÷ 1,000 sign-ups a year. Built by model/story_unit.py → tables/story_unit.csv. Paytm figures: research/qr_moat.csv QM-06..22, XL-07, XB-08; in-person collection: research/story_evidence.csv SE-01..05. Detail and every assumption: appendix A1–A6.

A saver we keep pays back in 22 months at a 1% loan fee, and in 14 months at a Paytm-like 4.5%. An app's never does.

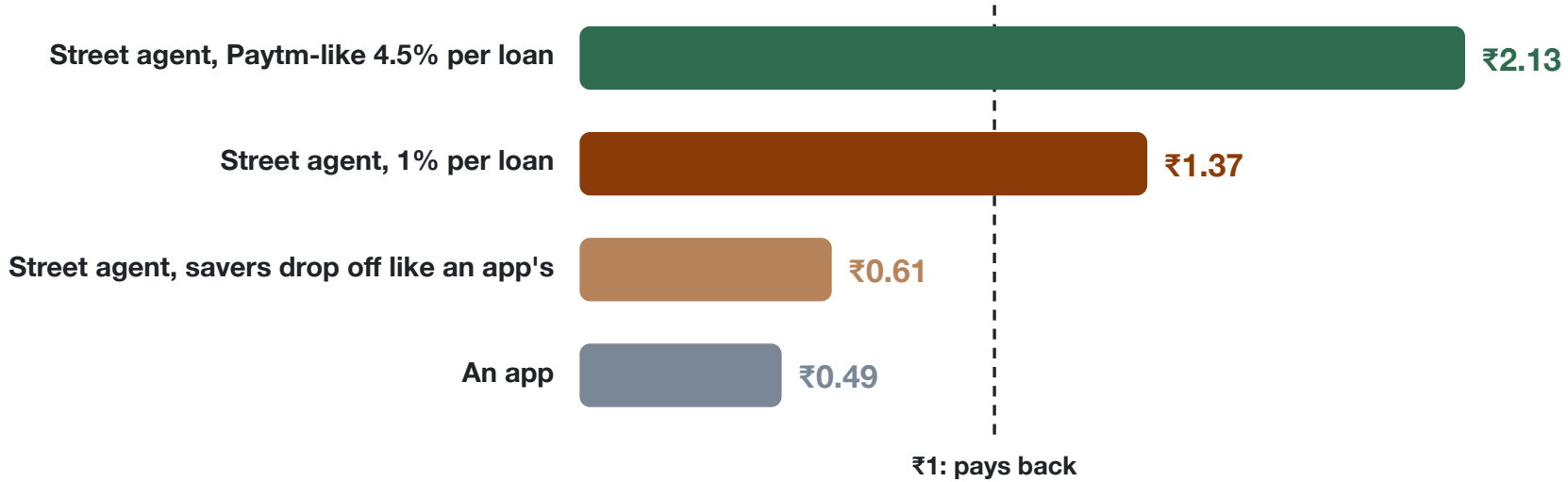


Most of it is the money he keeps saving. A Paytm-like loan fee is what turns a slow payback into a fast one.

Same saver and products in both channels: ₹350 a day; fund commission, other products, cards and loans as in the appendix. App cost to win ₹499 is our model's evidence (₹186–1,340: Groww, finance-app installs, Jar and Stable Money). Street ₹400 = your ₹4 lakh agent ÷ 1,000 sign-ups a year. Built by model/story_unit.py → tables/story_unit.csv. Paytm figures: research/qr_moat.csv QM-06..22, XL-07, XB-08; in-person collection: research/story_evidence.csv SE-01..05. Detail and every assumption: appendix A1–A6.

Three moves win round 3, and all of them rest on one bet: the visit keeps savers.

WHAT EACH ₹1 SPENT ON WINNING A SAVER EARNS BACK IN 3 YEARS



1. Make the visit our till
The agent collects loan instalments on the same visit. Lenders who collect in person: self-help groups 1.74% bad loans, microfinance 5.4% in a bad year; Paytm 4.5–5%.

2. Earn like Paytm on each loan
Take part of the risk (RBI allows up to 5% first-loss cover) to move from 1% to about 4.5% a loan. A kept saver then pays back in month 14; one agent covers 122% of 3 years.

3. Stay up to 12× cheaper to win
1,000 sign-ups a year per agent at ₹400 each; tele-sales and AI take ₹59,045 a year of work off him.

The bet underneath all three
The visit keeps about 72 of 100 saving after a year. If savers drop off like an app's, we lose even with a cheap win.

Cheaper to win, a visit that keeps and collects, and a Paytm-like fee: that is beating Paytm at its own game.

Same saver and products in both channels: ₹350 a day; fund commission, other products, cards and loans as in the appendix. App cost to win ₹499 is our model's evidence (₹186–1,340: Groww, finance-app installs, Jar and Stable Money). Street ₹400 = your ₹4 lakh agent ÷ 1,000 sign-ups a year. Built by model/story_unit.py → tables/story_unit.csv. Paytm figures: research/qr_moat.csv QM-06..22, XL-07, XB-08; in-person collection: research/story_evidence.csv SE-01..05. Detail and every assumption: appendix A1–A6.

Run one agent for 12 months and measure three things.

Month 0 — 1

Hire one agent

Measure:
sign-ups and cost per sign-up

pass:
1,000 a year at about ₹400 each

Month 6 — 2

First proven savers

Measure:
loans, cards, instalments on the visit

pass:
take-up at our funnel, instalments collected on time

Month 12 — 3

Who is still saving?

Measure:
visited savers vs a UPI-only group

pass:
about 72 of 100 still saving, well above an app's 24

If month 12 shows about 72 of 100 still saving, we have an edge Paytm and the apps do not. If it shows 24, we do not.

Same saver and products in both channels: ₹350 a day; fund commission, other products, cards and loans as in the appendix. App cost to win ₹499 is our model's evidence (₹186–1,340: Groww, finance-app installs, Jar and Stable Money). Street ₹400 = your ₹4 lakh agent ÷ 1,000 sign-ups a year. Built by model/story_unit.py → tables/story_unit.csv. Paytm figures: research/qr_moat.csv QM-06..22, XL-07, XB-08; in-person collection: research/story_evidence.csv SE-01..05. Detail and every assumption: appendix A1–A6.

One ₹4 lakh street agent covers 113% of his 3-year cost if every saver stays, 85% at janta-like retention and 45% at app-like retention. Retention decides it; loans at 1% cannot.

Retention decides it

86 of 100

must still be saving after a year to break even. App evidence says 24. Arvinder's book (6–10 join, 6–10 leave a month) implies 72 (54–83).

pages 3, 5

At janta-like retention, close

85%

of his 3-year cost is covered, and year 3 alone pays 124%: 1,892 savers by then. Every saver staying: 113%; app-like: 45%.

page 3

Target for tele-sales and AI

₹59,045 a year

of work to take off each agent: janta-like retention carries ₹3,40,955 a year, not ₹4,00,000. App-like carries ₹1,78,326; every saver staying, ₹4,51,842.

page 3

Loans at 1% are the smallest income

₹61 a saver

a year: 2.5 loans per 100 proven savers a year at ₹2,438 each, less than the ₹147 the fund pays on the same saver.

page 2

₹2.5 lakh fits only over 36 months

₹10,073 EMI

needs about ₹20,145 of monthly income under the 50% rule, with no other loan. 12 months never fits a ₹20–40k income.

page 2

Many savers must pay by UPI

47%–67%

by year 3 (janta-like to every saver staying): one person collects cash from about 1,000 savers (400 a day, every 2.5 days).

page 3

What to do next

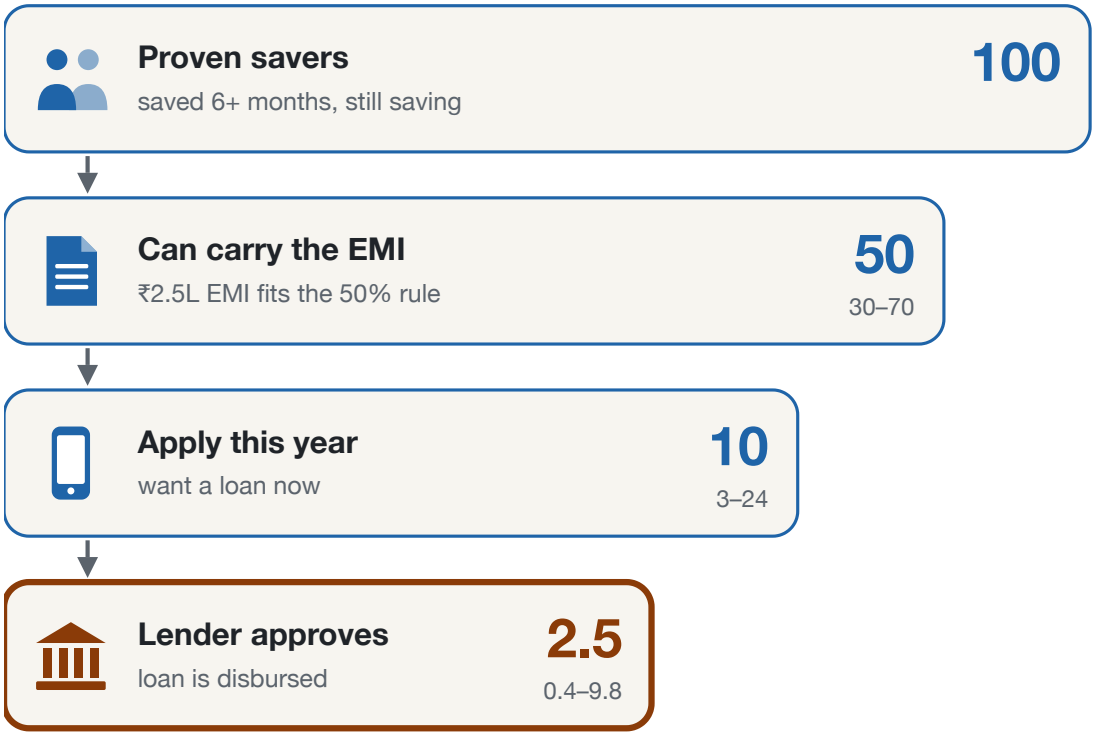
1. Measure who is still saving at month 12 in the pilot; it decides everything.
2. Compare savers the agent visits with UPI-only savers: does the visit keep them saving?
3. Give tele-sales and the AI team the target: ₹59,045 a year of each agent's work.
4. Raise what each loan earns: at 1% of ₹2.5 lakh, loans cannot carry the agent.

Every number here is worked out on the pages that follow; the last three pages list every assumption and how sure we are of it.

Assumptions: agent ₹4,00,000 a year; 1,000 sign-ups a year for 3 years; collected every 2.5 days; ₹350 a day per saver, 240 days (your figures and Arvinder's middle) · average loan ₹2.5 lakh, 1% fee to us (your figures), 2.5% of fees taken back in the middle case (XL-13) · cards: 5% of sign-ups (your figure), ₹500 / ₹1,250 / ₹2,000 each (BM-08, unverified) · loans offered after 6 months of saving · fund commission 0.20 / 0.35 / 0.50% on half a year's deposits (XB-04) · other products ₹8 / ₹63 / ₹259 a saver a year (XO-39) · retention: everyone stays (you), janta-like 8 of 300 leaving a month (Arvinder), app-like = our model's evidence (24.2% at 12 months, 14.5% at 24, 11.8% at 36) · EMI at 26% a year; 50% rule (SG-22). Built by model/agent_3yr.py → tables/agent3_*.csv.

Of 100 savers who have saved 6+ months, about 2.5 get a ₹2.5 lakh loan in a year, and each earns us ₹2,438.

OUT OF 100 PROVEN SAVERS, IN ONE YEAR (MIDDLE CASE; LOW–HIGH BELOW)



2.5 loans × ₹2,438 kept = ₹6,094

per 100 proven savers a year (1% of ₹2.5L, 2.5% taken back)

The loan funnel, low / middle / high

STEP	LOW	MIDDLE	HIGH
Can carry a ₹2.5L EMI	30%	50%	70%
Applies in a year	10%	20%	35%
Lender approves	15%	25%	40%
Loans per proven saver a year	**0.4%**	**2.5%**	**9.8%**
Fee we keep per loan	₹2,375	₹2,438	₹2,500

Basis: EMI fit vs incomes of ₹20–40k and 41% already borrowing (XB-09); Kissht 17.5% ever borrowed (XL-42), Brazil payroll 20% in year one (LS-06), founder 35%; approval 25% from the founder's past lending data. The middle, 2.5 a year, matches the evidence middle of 3 (XL-48).

Can a ₹350-a-day saver carry ₹2.5 lakh? (26% a year)

LOAN OVER	EMI A MONTH	× HIS ₹7,000 SAVING	SHARE OF ₹20–40K INCOME	50% RULE AT ₹20K	AT ₹40K
12 months	₹23,883	3.4×	60%–119%	✗ too high	✗ too high
24 months	₹13,469	1.9×	34%–67%	✗ too high	✓ fits
36 months	₹10,073	1.4×	25%–50%	✗ too high	✓ fits

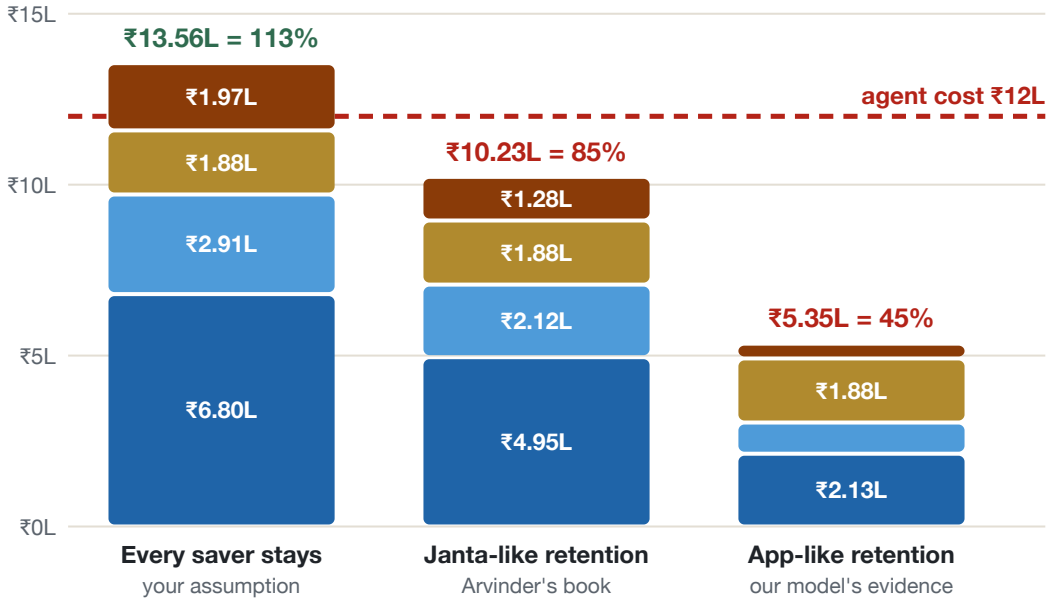
Even over 36 months the EMI (₹10,073) is just above half of a ₹20,000 income (₹10,000). It fits from about ₹20,145 a month, and only with no other EMI. 12 months never fits.

So loans earn about ₹61 per proven saver a year, less than the fund commission on the same saver (₹147 a year at ₹350 a day).

Assumptions: agent ₹4,00,000 a year; 1,000 sign-ups a year for 3 years; collected every 2.5 days; ₹350 a day per saver, 240 days (your figures and Arvinder's middle) · average loan ₹2.5 lakh, 1% fee to us (your figures), 2.5% of fees taken back in the middle case (XL-13) · cards: 5% of sign-ups (your figure), ₹500 / ₹1,250 / ₹2,000 each (BM-08, unverified) · loans offered after 6 months of saving · fund commission 0.20 / 0.35 / 0.50% on half a year's deposits (XB-04) · other products ₹8 / ₹63 / ₹259 a saver a year (XO-39) · retention: everyone stays (you), janta-like 8 of 300 leaving a month (Arvinder), app-like = our model's evidence (24.2% at 12 months, 14.5% at 24, 11.8% at 36) · EMI at 26% a year; 50% rule (SG-22). Built by model/agent_3yr.py → tables/agent3_*.csv.

With loans at 1% of ₹2.5 lakh, the agent covers 113% of his cost if every saver stays, 85% at janta-like retention and 45% at app-like retention.

3-YEAR INCOME PER AGENT, MIDDLE CASE, AGAINST HIS ₹12 LAKH COST



INCOME SOURCE (MIDDLE)	EVERY SAVER STAYS	JANTA-LIKE RETENTION	APP-LIKE RETENTION
Loan fees	₹1,96,777	₹1,27,703	₹43,271
Credit cards	₹1,87,500	₹1,87,500	₹1,87,500
Other products	₹2,91,375	₹2,12,299	₹91,262
Fund commission	₹6,79,875	₹4,95,364	₹2,12,944
Total, 3 years	**₹13,55,527**	**₹10,22,866**	**₹5,34,977**

3 years, low / middle / high (every input moved together)

	LOW	MIDDLE	HIGH
Every saver stays (your assumption)			
Income over 3 years	₹5,35,012	₹13,55,527	₹32,60,271
After the ₹12L agent cost	**–₹6,64,988**	**+₹1,55,527**	**+₹20,60,271**
Agent cost it can carry a year	₹1,78,337	₹4,51,842	₹10,86,757
Janta-like retention (Arvinder's book: 72 of 100 after a year)			
Income over 3 years	₹4,07,421	₹10,22,866	₹23,93,878
After the ₹12L agent cost	**–₹7,92,579**	**–₹1,77,134**	**+₹11,93,878**
Agent cost it can carry a year	₹1,35,807	₹3,40,955	₹7,97,959
App-like retention (our model's evidence: 24 of 100)			
Income over 3 years	₹2,15,860	₹5,34,977	₹11,53,364
After the ₹12L agent cost	**–₹9,84,140**	**–₹6,65,023**	**–₹46,636**
Agent cost it can carry a year	₹71,953	₹1,78,326	₹3,84,455

Middle case: year by year after the ₹4L cost, and ₹2.5L loans we get / need over 3 years

	YEAR 1	YEAR 2	YEAR 3	LOANS GET / NEED
Every saver stays	–₹2,14,863	+₹49,727	+₹3,20,664	81 / 17
Janta-like retention	–₹2,29,884	–₹43,153	+₹95,902	52 / 125
App-like retention	–₹2,79,809	–₹2,12,869	–₹1,72,345	18 / 291

Loans are the smallest income line. At janta-like retention the agent pays from year 3; taking ₹59,045 a year off his cost breaks even over 3 years.

Assumptions: agent ₹4,00,000 a year; 1,000 sign-ups a year for 3 years; collected every 2.5 days; ₹350 a day per saver, 240 days (your figures and Arvinder's middle) · average loan ₹2.5 lakh, 1% fee to us (your figures), 2.5% of fees taken back in the middle case (XL-13) · cards: 5% of sign-ups (your figure), ₹500 / ₹1,250 / ₹2,000 each (BM-08, unverified) · loans offered after 6 months of saving · fund commission 0.20 / 0.35 / 0.50% on half a year's deposits (XB-04) · other products ₹8 / ₹63 / ₹259 a saver a year (XO-39) · retention: everyone stays (you), janta-like 8 of 300 leaving a month (Arvinder), app-like = our model's evidence (24.2% at 12 months, 14.5% at 24, 11.8% at 36) · EMI at 26% a year; 50% rule (SG-22). Built by model/agent_3yr.py → tables/agent3_*.csv.

The agent, his savers and the loan check: most of these are your figures or one interview.

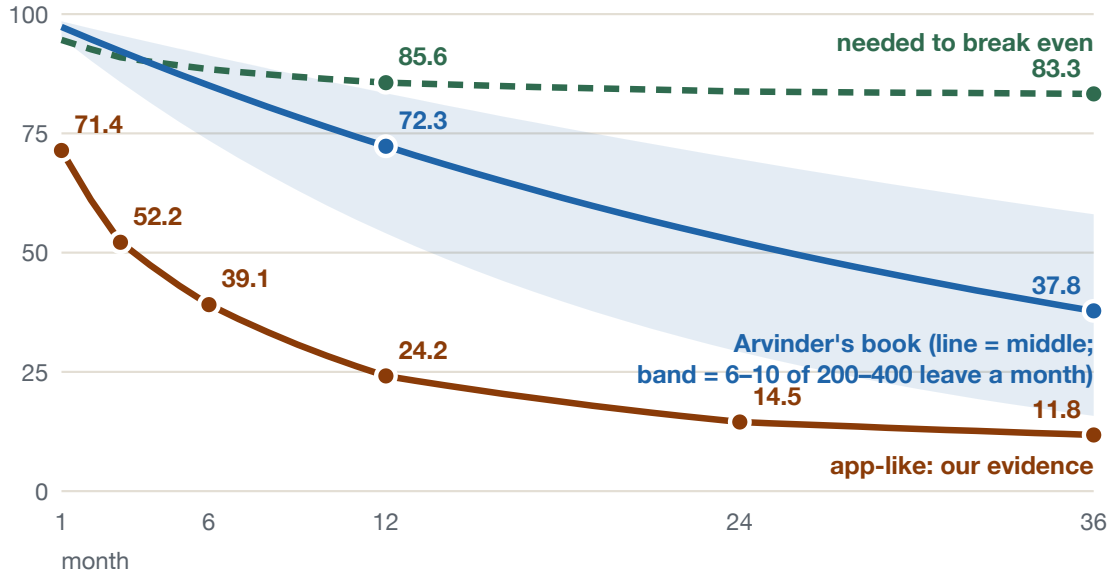
ASSUMPTION	VALUE USED	RANGE TESTED	WHERE IT COMES FROM	HOW SURE
Agent cost	₹4,00,000 a year, all-in	none	You, 16 Oct	Your figure
Sign-ups	1,000 a year for 3 years, joining at the start of each month	none	You, 16 Oct	Your figure
Collection	every 2.5 days	2–3 days	You, 16 Oct	Your figure
Collections one person makes	400 a day	200–400	Arvinder's book: 200–400 customers, most visited most days (interview, 15 Oct)	One interview
Each saver puts in	₹350 a day	₹200–500	Arvinder's customers: ₹200–500 a day; ₹350 is the middle	One interview
Who stays	three views: everyone; janta-like (8 of 300 leave a month); app-like	page 5	you; Arvinder's 6–10 in and out a month; our model's evidence	Your figure One interview Evidence
Deposit days	240 a year (20 a month)	none	Bachatt: 2M fund purchases in Feb 2026 ÷ about 1 lakh daily savers	Our estimate
Money left in the fund	half a year's deposits on average	none	janta accounts close when the term ends (Arvinder: 'the term finished')	Judgement
Savers' income	₹20,000–40,000 a month	none	Arvinder's customers (interview, 15 Oct)	One interview
Loan rate for the EMI check	26% a year	22–30% in our lending model	our lending model (tables/lmc_distributions.csv)	Our estimate
Loans offered	after 6 months of saving	none	our model's rule: a proven saver has saved 6 months	Judgement

Five of eleven rest on a single interview. The next two calls should test the 200–400 book, ₹200–500 a day and ₹20–40k income.

Sources: interview with Arvinder Singh, 15 Oct 2026; research and model tables named in each row. Built by model/agent_3yr.py and model/build_agent3_slides.py.

The agent breaks even only if about 86 of 100 savers are still saving after a year. App evidence says 24; Arvinder's book implies 72.

OUT OF 100 WHO START, STILL SAVING IN MONTH…



What we know about how long daily savers keep saving

SOURCE	WHAT IT MEASURES	VALUE	HOW SURE
Our model, today's evidence (app-like)	still saving at 12 / 24 / 36 months	24.2 / 14.5 / 11.8	Evidence Judgement
Founder's view (tables/inputs.csv)	of 100 who start, still saving after 1 / 2 years	about 20 / 10	Judgement
SBI Jan Nivesh ₹250 daily SIP (NG-033)	FY26 registrations stopped by 1 Apr 2026	35.6%	Evidence
Chhoti SIP ₹250 (TB-04)	share of the book closing in May 2026	~8% a month	Evidence
Arvinder's janta book	6–10 join and 6–10 leave a month, 200–400 customers: still saving after a year	54 / 72 / 83	One interview
Arvinder's janta book	how long most customers have saved with him	5+ years	One interview
Needed for the agent to break even	still saving at 12 months	85.6	Our estimate

Janta values: worst 10 of 200, middle 8 of 300, best 6 of 400 leaving a month, the same every month. App savers drop off fast; a daily visit may keep them. Only the pilot can tell which applies to us.

This is the one assumption that flips the answer. Measure it first.

Sources: interview with Arvinder Singh, 15 Oct 2026; research and model tables named in each row. Built by model/agent_3yr.py and model/build_agent3_slides.py.

Your figures set the loan and card income; the fund commission rests on weak evidence; six things are not counted.

Money coming in

ASSUMPTION	VALUE USED	RANGE TESTED	WHERE IT COMES FROM	HOW SURE
Fund commission	0.20 / 0.35 / 0.50% a year on the balance	low–high	XB-04: regular minus direct fund costs (fund-house and adviser blogs)	Weak evidence
Other products	₹8 / ₹63 / ₹259 a saver a year	low–high	XO-39: insurance, bills, recharge, pension, priced item by item	Evidence; Judgement
Credit cards	5% of sign-ups, one card each	none	You, 16 Oct	Your figure
Card fee	₹500 / ₹1,250 / ₹2,000 a card	low–high	BM-08: affiliate guides only	Unverified
Average loan	₹2.5 lakh	none	You, 16 Oct	Your figure
Our fee	1% of each loan	none	You, 16 Oct (from our lender)	Your figure
Fee taken back	5% / 2.5% / 0% of fees	low–high	XL-13: lenders take it back if a loan closes or defaults within 6 months	Evidence
Loan funnel	eligible 50%, apply 20%, approved 25% (middle)	page 2	XB-09, XL-42, LS-06, the founder's past lending data; middle matches XL-48	Evidence; Judgement

Not in these numbers

GST on our fees makes it worse
If the lender's 1% includes 18% GST, we keep ₹2,119 of each ₹2,500. Check the contract.

Costs beyond the agent makes it worse
App, KYC (₹3 per Aadhaar e-KYC, REG-068), support and cash banking are not counted.

Cash rules for funds makes it worse
Fund money must come from the saver's own bank account (GIG-32); cash into funds is capped at ₹50,000 per fund house a year.

Agent ramp-up and churn makes it worse
Full output from month 1 is assumed. A new agent, or one who leaves, earns less.

Copying risk
PhonePe already offers a ₹100-a-day deposit (since 6 Aug 2026). That hits retention.

Credit losses risk
On referred loans the lender carries them, but high losses mean fewer approvals.

Everything left out makes the result worse or riskier, so the middle case is, if anything, generous.

Sources: interview with Arvinder Singh, 15 Oct 2026; research and model tables named in each row. Built by model/agent_3yr.py and model/build_agent3_slides.py.